

“If you truly want to invest in AI, especially frontier intelligence, it is hard to do so without technical abilities to understand what is being built.”

BoldCap is a seed-stage fund backing founders of artificial general intelligence (AGI) companies.

The VC ecosystem has largely been about identifying market opportunities, understanding customer behaviour and backing teams capable of capturing demand, says Sampat, who has a master’s degree in science from New York University.

While those fundamentals remain important, the rise of AI has introduced a new variable that needs technical depth.

are returning to the ecosystem as angel investors and fund managers, bringing operating experience plus capital.

“We have reached a phase where the first generation of internet companies has gone through a full cycle. Some have sold, some are scaling, some are IPO-ing. The value created is being ploughed back into the ecosystem,” says Arjun Vaidya, founder of V3 Ventures.

Founders-turned-investors often bring greater empathy and a deeper understanding of the entrepreneurial journey than traditional financial investors, says Vaidya, who holds a bachelor’s degree in international relations and economics from Brown University in the US.

care brand Deconstruct and online plant store Ugao.

Today’s investors, through social media, content creation and online communities, are engaging directly with founders and discovering opportunities beyond conventional venture circles.

If the first phase of the Indian VC ecosystem was defined by a singular pursuit of scale, the new generation appears more comfortable with multiple routes to value creation.

Some are backing AI and frontier technologies that require years of research before commercialisation.

For Pai, the opportunity lies in building for an India that is still in the midst of a once-in-a-generation economic expansion.

62 |

ACCORDING TO A REPORT COMPILED BY DATA PROVIDER VENTURE INTELLIGENCE, 2025 SAW CAPITAL FLOWING DECISIVELY TOWARDS TECHNOLOGY-LED SECTORS

OUTPERFORMERS

Deeptech investment has seen an exponential rise over the years. According to a report compiled for investor consortium India Deep Tech Alliance by data provider Venture Intelligence, in 2025, capital flowed decisively towards technology-led sectors.

Total VC investment in India held steady at about \$10 billion, but within that headline number, AI and deep tech outperformed, even as overall venture activity moderated.

The shift is unfolding alongside another change in India’s venture ecosystem—the rise of founders-turned-investors.

As the first generation of start-up founders creates wealth through exits, acquisitions and IPOs, many

BECOMING MORE INDIAN

Vaidya started his D2C brand Dr Vaidya’s in 2016 to take over his family’s 150-year-old Ayurvedic heritage and later sold the business to the RP Sanjiv Goenka Group.

The new generation of VCs is emerging at a time when venture capital itself is becoming more Indian, says Vaidya.

Successful IPOs and exits have begun convincing domestic investors that start-ups can create value, spawning a flywheel of local capital backing local entrepreneurs.

While deeptech investments are rising, for Vaidya, consumer internet is an evergreen sector that will continue to attract investments.

Vaidya has invested in companies like audio app KuKu FM, skin

Sampat sees the shift through a technological lens. In the era of AI, venture investing is becoming less about spotting market trends and more about understanding technical breakthroughs, he says.

Vaidya believes the ecosystem itself is becoming more diverse and the pathways to entrepreneurship and funding are broadening.

Together, these shifts suggest that India’s venture capital players are not united by a single investment thesis. What binds them is a belief that the next generation of breakout companies may emerge from places, sectors and founders that earlier playbooks may have missed altogether. **BT**

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